ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

Quarterly Review

As of December 31, 2023

Confidential

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended December 31, 2023

Transactions

Type	#	*$ in millions*
Commitments	1	194.0
Investments	1	1.9
Distributions-Cash	0	0.0

Fund XII made one new commitment to Black Swan II for $194.0 million.

Fund XII made one investment in Black Swan II for $1.9 million.

Fund XII received no cash distributions from portfolio companies.

Fund Performance Summary ($ in millions)
The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
June-23	$ 1,090.3	$ 487.4	$ 0	$ 678.7	$ 678.7	74.9%	52.6%

Portfolio Status

Fund XII

(As of December 31, 2023; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
None		$ -	$ -	$ -	$ -	$ -	-	-
		-	-	-	-	-	-	-
Unrealized Investments								
Double Eagle IV	Jun-23	350.0	273.7	-	368.7	368.7	1.3x	
Grayson Mill III	Jun-23	400.0	206.9	-	303.2	303.2	1.5	
Ridge Runner	Aug-23	146.3	4.9	-	4.9	4.9	1.0	
Black Swan II	Oct-23	194.0	1.9	-	1.9	1.9	1.0	
		1,090.3	**487.4**	-	**678.7**	**678.7**	**1.4x**	
		$ 1,090.3	**$ 487.4**	**$ -**	**$ 678.7**	**$ 678.7**	**1.4x**	**74.9%**

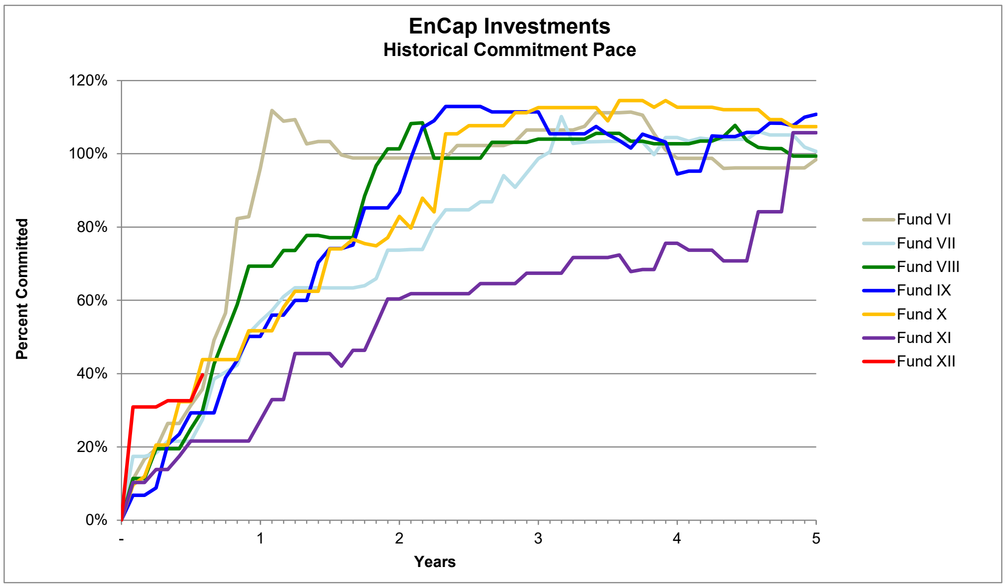
Comparison to prior quarter
($ in millions)

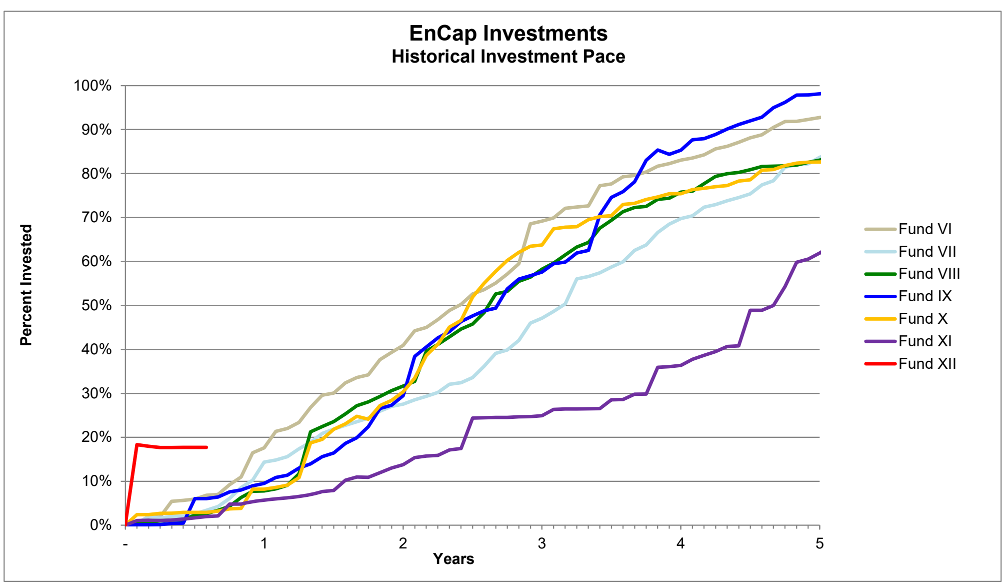
	Valuation 9/30/2023	Valuation 12/31/2023	Q4 2023 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 9/30/2023	Comments (> $5MM and 5% change)
Double Eagle IV	$ 297.8	$ 368.7	$ -	$ 70.9	23.8%	Positive drilling results and activity
Grayson Mill III	273.1	303.2	-	30.1	11.0%	Positive drilling results and activity
Ridge Runner	4.9	4.9	-	-	0.0%	
Black Swan II	-	1.9	1.9	-	n/a	
	$ 575.8	$ 678.7	$ 1.9	$ 101.0	17.5%	

Projected Contributions and Distributions as a Percentage of Commitment

	2024	2025	2026
Contributions	20%	20%	20%
Distributions	0%	0%	0%

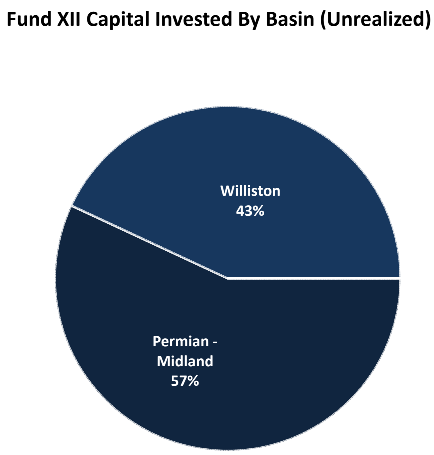
Commitment and Investment Pace

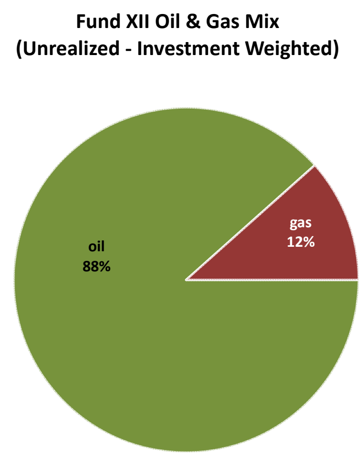




Portfolio Review and Discussion of Recent Transactions

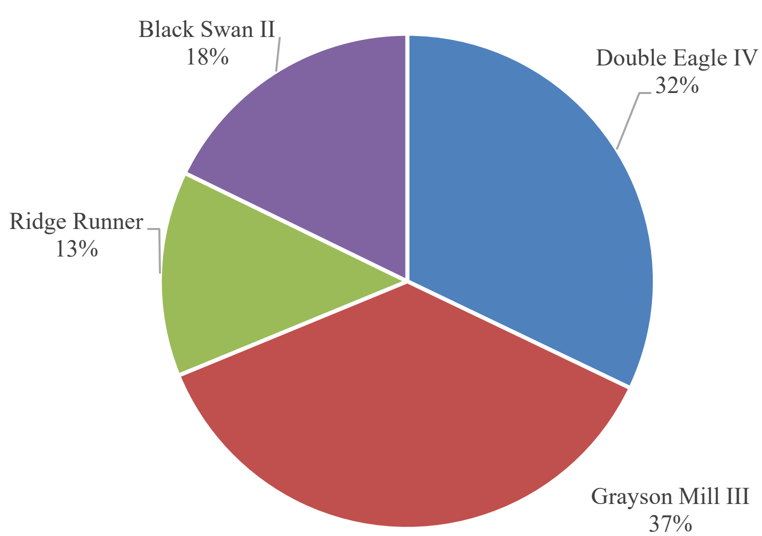
Fund Capital Allocation





gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund XII Unrealized Commitment Concentration



Significant Events and Transactions

Double Eagle IV	-	Aggregated >50,000 net acres in the Permian Basin and continued running a 5-rig development program
Grayson Mill III	-	Assumed operations on acquired Ovintiv Bakken assets in Q3 2023 and continued running a 1-rig development program in Q4
Ridge Runner II	-	Begun aggregating acreage positions across their initial focus area in the Northern Delaware Basin
Black Swan II	-	Evaluating acquisition opportunities in areas the team has prior experience and/or a competitive advantage

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q4 2023, EnCap managed Fund XII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.

Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices ("WTI") finished down ~21% QoQ and ~10% YoY (~$8.50/Bbl drop), which was the biggest annual drop in oil prices since 2020. This was largely driven by 1) continued weaker than expected Chinese demand projections 2) eased/erased sanctions for Iran and Venezuela 3) continued outperformance by U.S. oil production, that by year-end was back to a record of ~13.3 MMBbl/d and 4) OPEC+ facing uncertainty in its alliance with Angola leaving the pact. Subsequent to year-end oil spot prices have rebounded into the high ~$70's/Bbl range driven mainly by increased Middle East geopolitical risks associated with 1) Israel/Hamas war and 2) ramping Red Sea tensions due to Houthi militants targeting commercial vessels. A number of key drivers will affect prices in 2024, namely: 1) the Ukrainian and Gaza wars 2) OPEC+ alliance and production discipline 3) elections in the U.S. and Canada and 4) whether U.S. production finally declines. Current oil prices remain constructive for M&A activity and 2024 is expected to be a strong year for activity.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to remain very challenged and finished down ~4% QoQ and ~27% YoY. Gas prices may remain challenged during 2024 until LNG projects come online in early/mid 2025. The year-end gas strip curve remained in strong contango with the back of the curve (36-48 months out) hovering at ~$4/MMBtu. Subsequent to year-end gas spot prices have fallen further into the sub-$2's/MMBtu range driven mainly by increases in associated gas production and a warm winter.

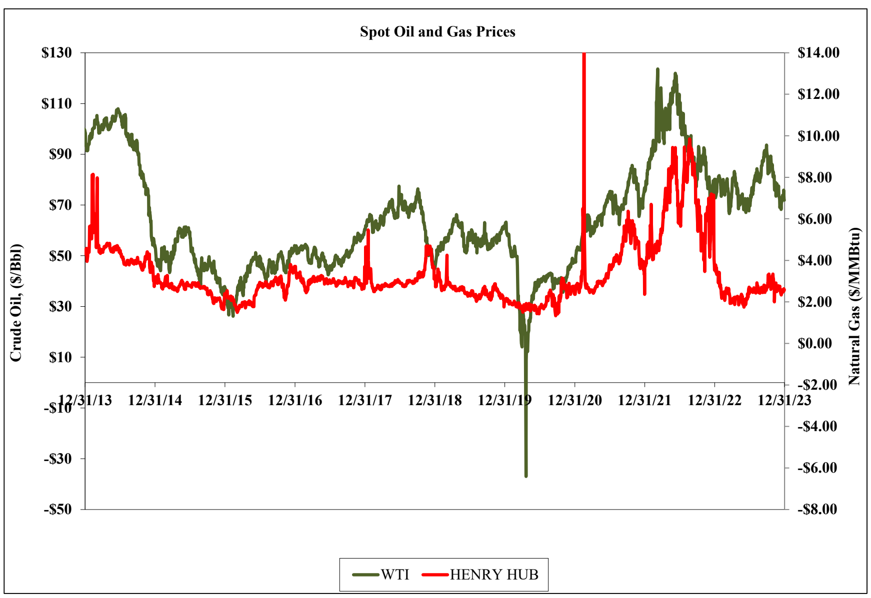


Figure 1: Oil & Gas Spot Prices

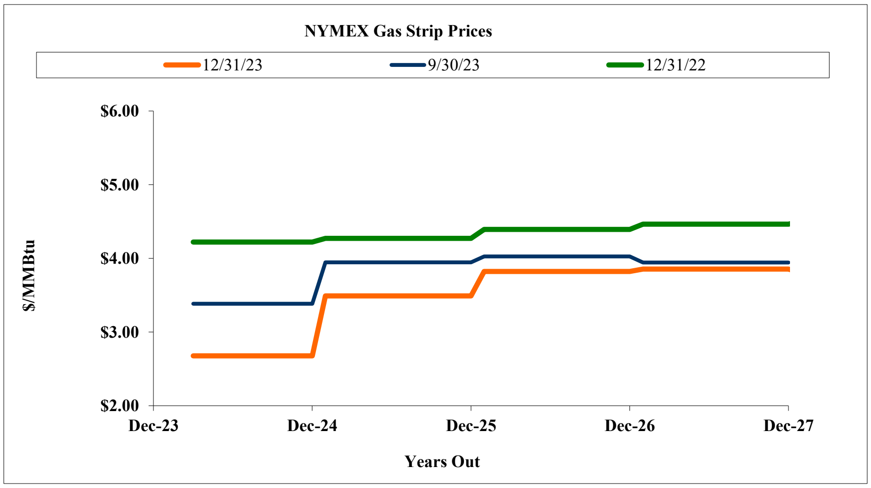


Figure 2: Natural Gas (Henry Hub) Strip Prices

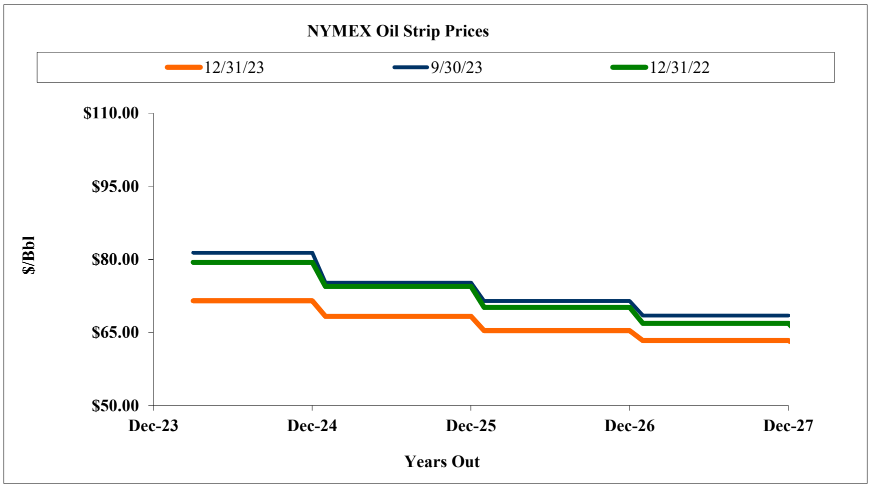


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q4 2023, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down 20% YoY. The U.S. total natural gas rig count finished the quarter at 120 rigs, down from 116 rigs running at the end of Q3 2023. Year-over-year, the U.S. total natural gas rig count finished down 23%. The U.S. total oil rig count was flat during Q4 2023, moving from 502 rigs at the beginning of the quarter to 500 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 19% or ~121 rigs.

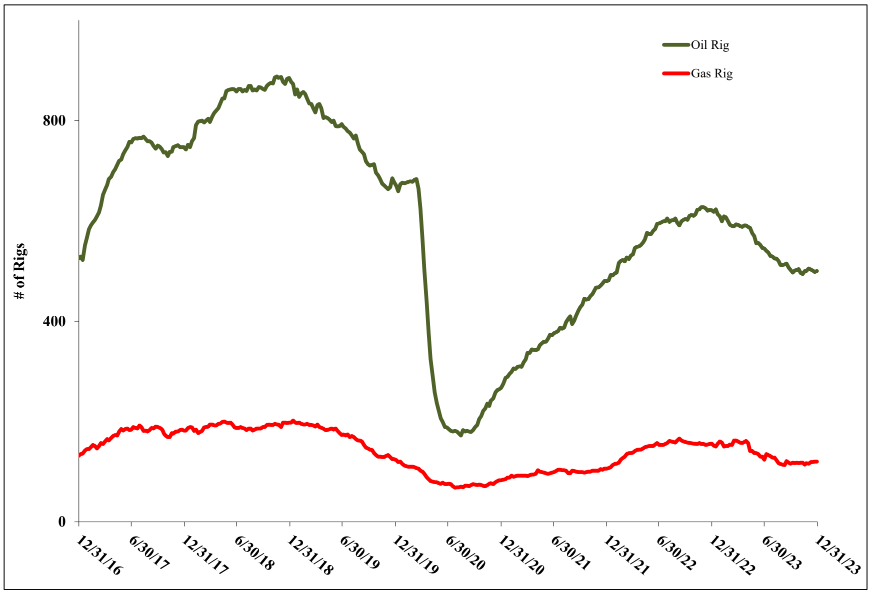


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

U.S. E&P total deal value hit an all-time yearly high of $192 billion in 2023. Q4 2023 U.S. E&P total deal value was also hit a record high of $144 billion. The majority of the yearly and quarterly totals were driven by mega transactions, namely 1) Exxon's $65 billion corporate acquisition of Pioneer and 2) Chevron's $60 billion corporate acquisition of Hess. During the quarter the Permian Basin remained the epicenter of activity with a consistent theme of buyers looking to secure dwindling high-quality tier 1 inventory. Buyers are clearly valuing inventory in core areas once again as Exxon (Pioneer acquisition) and Occidental (CrownRock acquisition) both set records paying an implied $/location of ~$4.3 million and ~$4.8 million respectively. Mid-size A&D deals are expected to be active in 2024 as consolidators prune portfolios.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.

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EnCap Energy Capital Fund XII

Section III: Portfolio Companies

1. DOUBLE EAGLE IV
2. GRAYSON MILL III
3. RIDGE RUNNER II
4. BLACK SWAN II

Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.

2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:

   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – a 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of December 31, 2023 were as follows:

	$/BO	$/MMBTU
2024	71.52	2.68
2025	68.32	3.49
2026	65.37	3.82
2027	63.32	3.85
2028+	62.02	3.80

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

Note: Valuation assumptions 1) through 3) as presented above apply to all investments currently held by Fund XII. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

4) Non-restricted public securities are valued at the quoted price at the end of the quarter.

5) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.

6) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).

7) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).

8) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.

Double Eagle Energy Holdings IV, LLC

Company Description

Double Eagle Energy Holdings IV, LLC ("Double Eagle") was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled "land machine" to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~$520 million in the assets, and ultimately sold to Parsley in 2017 for ~$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially capitalized with a $1.1 billion common equity commitment, which includes $1.0 billion from Fund XI and $100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to $100 million, which would reduce Fund XI's commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of $50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be $1.15 billion. This includes $900 million from Fund XI, $154 million from Friends and Family, and $100 million from Management.

In Q1 2023, Double Eagle's commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle's $450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, $100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

As of December 31, 2023, Double Eagle has closed on >50,000 net acres in the Permian Basin through numerous acquisitions and trades. During the quarter, they continued their 5-rig development program, exiting the year with production greater than 25 Mboe/d. The company is actively evaluating *acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.*

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	$273,703	$0	$368,730	$368,730	1.35x	N/A

Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv's Bakken assets for $825 million. At signing, Fund X and Fund XI posted a ~$41 million deposit to secure the deal. Subsequently, the company was capitalized with $904 million of total equity commitments: (i) $67 million Fund X, (ii) $133 million Fund XI, (iii) $400 million Fund XII, (iv) $300 million co-investors, and (v) $4 million management. Management's initial $4 million commitment will expand up to $20 million as ongoing distributions are made from Grayson Mill II. Approximately $245 million of the $300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv's Bakken assets for $825 million. Ovintiv's Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company's ongoing business development efforts.

Recent Events

Management formally brought operations in-house in Q3 2023. The team is running a 1-rig program and performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

Grayson Mill III is maintaining a moderate reinvestment rate and has a strong balance sheet and leverage profile (<1.0x). The company expects to initiate a distribution program in the second half of 2024 from free cash flow. The team is also actively evaluating additional bolt-on opportunities and may evaluate a sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	$206,914	$0	$303,294	$303,294	1.47x	N/A

Ridge Runner Resources II, LLC

Company Description

Ridge Runner Resources II, LLC ("Ridge Runner" or "the Company") was formed in August 2023 and is based in Houston, TX. Ridge Runner is led by Scott Germann (Co-CEO/Chairman) and Brian Cassens (Co-CEO), as well as Aaron Gaydosik (CFO) and Brad Grandstaff (COO). The core management team previously worked together to orchestrate the turnaround at Chisholm Energy (Warburg Pincus) which ultimately sold to Earthstone in February 2022 for $604 million, representing a 4.5x value uplift from when the new management team took over operations.

Ridge Runner will initially focus its efforts in the Delaware Basin where management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational experience as it employs an acquire, exploit, and optimization strategy of undervalued, liquids-rich assets.

Transaction Summary

In August 2023, Fund XII committed $146.3 million and management committed $3.8 million, providing a total equity commitment of $150.0 million to the Company. The investment is structured in the form of common equity with Fund XII receiving 97.5% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Ridge Runner currently has ~2,000 net acres under LOI across their initial focus area in the Northern Delaware Basin. Management continues to evaluate numerous other opportunities of various sizes to further bolster their position.

Valuation ($000's)

The investment in Ridge Runner II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	$4,875	$0	$4,875	$4,875	1.00x	N/A

Black Swan Oil & Gas II, LLC

Company Description

Black Swan Oil & Gas II ("Black Swan II") is a privately-held, Oklahoma City-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. The Black Swan II management team is largely made up of individuals responsible for Black Swan's successful sale to Ovintiv (NYSE: OVV) and will be led by Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP - Operations), Alex Hester (VP – Land & Business Development), and Andrew Clark (Geology Manager). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Black Swan II will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management believes there are actionable consolidation opportunities as both public and private operators look to offload assets. Black Swan II will also remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Transaction Summary

Black Swan II was initially capitalized with a $200 million total commitment, which includes $194 million from Fund XII and $6 million from Management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Black Swan II is actively evaluating acquisition opportunities in areas the team has prior experience and/or a competitive advantage. The company has already identified several underdeveloped positions in the Midland Basin held by both private and public operators, and management is in discussions on both large producing acquisitions as well as smaller farm-in opportunities where the team can utilize its operating skill sets to drive value.

Valuation ($000's)

The investment in Black Swan II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	$1,940	$0	$1,940	$1,940	1.00x	N/A

EnCap Investments L.P.

EnCap Energy Capital Fund XII

Section IV: Financial Statements

Audited 2023 financial statements to be provided by March 31, 2024